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Chapter 5

Drinks Inventory Management

Overview



Introduction

The world of commerce can be divided into organisations which provide goods and those which provide services. All those concerned with the acquisition and supply of goods are required to record, count, manage and account for inventory. It is one of the fundamental needs of all such companies. A system to keep proper control of Inventory is a pre-requisite for buying decisions, answering customer queries and deciding the production programme.

Different organisations require different levels of detail and support for Inventory Management decisions, and indeed this might vary within the same organisation. However, the basics of defining items, recording movement, even calculating balances and providing valuations will be common to all such companies.

Drinks Inventory Management provides a wide spectrum of facilities for the recording, valuation and management of Inventory. These facilities are the bed-rock on which the Drinks Distribution and Production Systems are built.

The module may be installed in a simple organisation which views its Inventory as a single logical unit, or with equal ease in a multi-depot organisation with separate raw material, finished goods and component stores. Multiple stockrooms or stores may be created, with the ability to maintain different stock investment policies in each. This is achieved without data redundancy as the same item definition is used throughout.

Relationships to Other Modules

Drinks Inventory Management is a fully standardised system and as such operates under the control of System Manager.

There are no pre-requisite modules for this module (apart from System Manager), moreover this module is a pre-requisite for all the Drinks Distribution and Production modules.

Although the module is designed to operate as a fully integrated module, it can be operated in a very simple fashion as a stand-alone system, including facilities to record sales and purchase activity as well as providing inventory recording and control.

Overall Implementation Considerations

Before setting up Drinks Inventory Management there are some fundamental issues to be considered:

- How do you wish to use Drinks Inventory Management and other modules?
- How many Drinks Inventory Management companies do you intend setting up?

The next two sections discuss these two issues in turn.

Drinks Inventory Management and other Modules

What are the functions which you intend Drinks Inventory Management to fulfil? For example are you intending to use Drinks Inventory Management on a stand-alone basis, and to record all stock movements through its own procedures?

If this is the case then this would simplify the implementation, as you would only need to be concerned about the set up requirements for Drinks Inventory Management.

If, however, you are installing other modules, then your implementation needs to take account of the requirements of those modules. As Drinks Inventory Management is a pre-requisite for all the Distribution and Production modules of Drinks, you can appreciate the need to consider its use in relation to the other modules.

Where Drinks Inventory Management is installed with other Drinks modules it provides:

- The basic database definition of items, stockrooms and code descriptions.
- The central repository for information on stock holding, whether at stockroom or lot level.
- The central audit of stock movements and history.
- The source of costing information for the valuation of movements and stock holding.
- The other Drinks modules therefore use Drinks Inventory Management as in the following examples:
 - Drinks Purchase Management uses the Inventory item definition; holds 'on-order' information as a stockroom balance quantity; and posts movement transactions to Drinks Inventory Management for receipts and returns.
 - Drinks Sales Order Processing uses the Inventory item definitions; makes use of parameters defined on the descriptions file; holds back order and allocation quantities as stockroom balance fields; and posts movement transactions to Drinks Inventory Management for customer issues and returns.
 - The Production modules use the Drinks Inventory basic item definitions; hold 'on-order' and allocation quantities as stockroom balance fields; and post movement transactions to Drinks Inventory Management for works order issues and receipts.

In a full Drinks implementation, it can therefore be seen that Drinks Inventory Management provides both basic data definitions and a transaction repository for a number of other modules.

This is, of course, in addition to the functions which are only available within Drinks Inventory - i.e. the stock management and stock taking facilities, and the stock adjustment transactions.

When planning your implementation it is therefore important that you consider:

- Which other modules do you plan to install?
- What requirements, in terms of data, will these modules look to Drinks Inventory Management to fulfil?
- How will the various stock movement requirements of the business be satisfied- by Drinks Inventory Management, or by one of the other modules?
- Will any other modules require an interface to Drinks Inventory Management?

Drinks Inventory Management Companies

Drinks Inventory Management, like all other Drinks modules, allows the simultaneous operation of discrete companies. Multiple companies are used for many reasons, but the major uses are either organisational, or for testing purposes.

A decision to set up multiple Inventory companies for organisational reasons may very well be taken because you require separate inventories. It is more likely, however, that multiple Inventory companies are required because you have separate operational organisations.

For example, you may require separate selling organisations to be reflected in separate 'companies' in the Drinks Sales Order Processing module. In a standard installation, this would require separate Drinks Inventory Management companies to be created.

Drinks Inventory Management companies interface on a one-to-one basis with companies in the following Drinks Modules:

- Purchase Management.
- Requisitioning.
- Sales Order Processing.
- Sales Analysis.
- Telesales.
- Distribution Requirements Planning.
- Production.
- Warehousing.

It can be seen, therefore, that any decision about the use of companies in Drinks Inventory Management needs to be taken in terms of the broader implementation.

Module Configuration

Having decided how you will use Drinks Inventory Management in conjunction with other modules and the companies you will use, you need to plan and implement the setting up of the basic data required for the module's operation.

The main details you will need to create or define fall into the following areas:

- Company Profiles.
- Stockrooms.
- Stock Weeks Matrices.
- Usage Profiles.
- Descriptions.
- Items.
- Stockroom Details.
- Alternatives.
- Kits.
- Calendars.

The maintenance of these elements is covered in detail in the Maintenance section of this Product Information.

Maintenance

As with all the modules, Drinks Inventory Management can be operated for a number of companies, the characteristics of each being maintained on a control file.

The module is controlled by setting up data for the company and then for each stockroom within the company. Stockrooms may be added after the initial implementation of the module.

The maintenance functions of Drinks Inventory Management enables the creation and amendment of master files and data which are fundamental to its operation. The module will then build the necessary transaction and movement histories as work progresses.

There are a number of common features in the way in which data is maintained, these are:

- The standard item and description search routines.
- A standard method of selecting codes from a displayed list.

The following data can be maintained:

- Standard Codes and Descriptions.
- Item Master Details.
- Alternative Items.
- Kit Lists.
- Stockroom or Balance Details.
- Calendar.
- User Stockroom Authorisation.
- Item Containers.
- Negativity Control.
- Tax Kits.
- Business Entity Names and Addresses.

Company and Stockroom Profiles

Certain policies may be set up as a default at the company level. These are:

- Costing method: Latest, Average, Standard or First In First Out.
- General Ledger codes.
- The period for usage calculation: weekly or monthly.
- Stock Management Policy factors:
 - Method of calculation.
 - Re-order quantity factor.
 - Stock carrying rate.

- Supply order placement cost.

These policies and parameters will be used throughout the operation of the module unless overridden at the level of the item or at the time of the transaction.

It is necessary to define each of the stockrooms where stock will be held. Four important policies can be set at this level:

- Firstly, the stockroom may be excluded from valuation, e.g. for consignment stocks.
- Secondly, certain transactions may be excluded from use in the stockroom.
- Thirdly, purchase officers authorised to process Purchase Orders against the stockroom.
- Finally, a value usage matrix can be created to manage the stock investment policy of the stockroom. Nine value/usage bands may be created and target minimum and maximum weeks of stock defined.

The module will automatically calculate average usage based on user-defined profiles. In order to make this calculation two factors must be defined:

- Whether usage is to be calculated on a weekly or monthly basis.
- Which periods are to be taken into account for the average usage calculation. You will need to decide how many of these profiles should be set up to reflect the different demand patterns in your business.

The weekly or monthly time period is set up on the Company Profile. A number of profiles may be maintained detailing which of the sixty previous time periods will be included in the calculation.

Standard Codes and Descriptions

Descriptions or parameters file is used by the system in most modules for a number of purposes. Primarily, it enables codes to be set up with standard descriptions. These codes cover such elements as item groups, item types, units of measure and reason codes.

The major type, or subject headings, are set up automatically if you use the Copy Company utility to create your company data initially. This provides for validation at the time of data entry and also the display of descriptions on both screens and reports. In some specific instances a rate is also stored, for example, in the case of Value Added Tax percentage.

The module has a small number of standard parameters that must be present for its successful operation, and these should be set up before continuing with further data set up.

The Drinks Inventory Management Descriptions file is the one used by all the Customer Service and Logistics modules. The standard parameters held on this file therefore include those required by all Logistics & Customer Service modules.

Item Data

Drinks Inventory Management is designed to have a flexible data structure, but without incurring data redundancy. In order to achieve, this there is an Item Master record which identifies the item to this module and indeed to all modules. This holds the static descriptive and classification data.

The Item Master details can be grouped into the following areas:

- Description and unique item number.
- Six different analysis codes - selection and sequencing is usual on these codes.
- Units of Measure (UOM) - three may be defined for each item. These should be set up in the descriptions file.
- Dual unit capability.
- Costing method, costs and default General Ledger codes. The costing method specified at item level overriding the default specified at Company level.
- Shelf life and storage information.
- Precision of inventory recording - single balance, batch/lot number or serial number.
- Supersession details.
- Search families.
- Drinks Industry Specific Details - volume, storage.

If more data is required in Drinks Inventory Management or any other module then a record of that information is set up and maintained in the originating module.

The following are examples of the additional data

- Drinks Inventory Management.
 - Stockroom Balance Records.
 - Lot Or Batch Records.
 - Extended Internal And External Text.
 - Kits.
 - Alternatives.
 - Search Family Codes.
- Drinks Purchase Management.
 - Item/Supplier Profiles.
- Production Modules.
- Production Profile.
- Drinks Warehousing.
 - Item/Warehouse Profile.
- Drinks Distribution Requirements Planning.
 - Item/DRP Profile.

In this way it can be seen that Drinks requires the entry and maintenance of only that data necessary to run the operational modules in any company's system.

Stockrooms

For any item, one or more stockrooms may be defined. A stockroom is a discrete area within a company where stock is recorded and controlled separately from other company stocks.

Depending upon the type of company a stockroom may be used to define divisions, depots, warehouses, stores, an area within a store or even van stock. If such distinctions are not required a single stockroom should be created to record the total company stock of the item.

The stockroom balance information is concerned with:

- Units of measure at the stockroom which will be used to express stock balances
- Drinks Inventory Management policy and control - reorder policies
- Balance data
- Costs
- Who is your preferred supplier?

Serial / Lot / Batch Control

The ability to track items at batch or lot number is an important feature of Drinks. All modules can perform inventory movements at the level of lot number. The control of the use of this facility is exercised at item level within the Drinks Inventory Management module.

Serial numbers are treated as a special instance of batch control, in that the module insists that a movement is limited to a quantity of one and the serial number is defined. Serial control should be specified for items with the same stock and issue unit only. It would not make sense to specify serial control for items packed in cases.

The facility to record stock at batch level can be used to record stock held at locations within a warehouse.



Note: It should be emphasised that if the full features of warehouse control are required, then Drinks Warehousing should be installed.

Alternative Items

For any item, one or more alternatives may be nominated. When the relationship is created, it is possible to state whether or not the relationship is reversed. This facility is used, during stock sourcing, by Drinks Sales Order Processing functions to offer customers alternatives if an item is not currently available.

Kit Lists

A kit of items may be set up to be used in Drinks Sales Order Processing. This is a single level kit with a single parent and any number of components. The quantity of components required can be maintained.

This can be processed as a sales kit within Drinks Sales Order Processing.

Where kits are sold, updates to Drinks Sales Analysis need to be considered - should details of the Whole Kit, Parent Only or Components Only be passed?

Calendar Control

Drinks Inventory Management must concern itself with dates, week endings and period endings, in order to perform reconciliation, usage calculations and information analysis.

Both week end dates and period end dates can be maintained for all operational years, and should be set up before processing begins for a new year.

A working days calendar can also be established which will be used by the system to calculate order due dates etc..

User Stockroom Authorisation

Although a user may create a stockroom and then attach items to it, they are not permitted to actually carry out any transactions until they are authorised.

For security purposes - to prevent users adjusting stock, ordering and receiving stock when inappropriate - user stockroom authorisation must be given.

Item Containers

The product can be stored in various containers, e.g. bottles, cans, cases, crates. These are defined in two groups: primary containers (referring to the unit closest to the liquid) and secondary containers (referring to the unit holding the primary container).

The purpose of this option is to monitor the storage of products and the conversion factors of returned goods.

Negativity Control

To incorporate flexibility of stock availability, this option permits over-allocation of an item (thus resulting in Negative Available Stock). This allows the generation of picking documentation for an order before actually having stock available in the stockroom.

Tax Kits

Tax Kits comprise various products (components) sold as one item. When an item is sold, it has tax charges attached to it. However, when these are packaged as a kit, they have a single tax attached to the header.

The feature of tax kits is to show the number of components of each item, which will be used as the basis for calculating the tax ratio for each item.



Note: Tax Kits are supported within US Bonded Inventory and state profile functions only.

Processing

Once all the basic data has been defined, the initial stock balances should be set prior to commencing processing.

There are four main activities in the operation of Drinks Inventory Management .

- Movement Transactions.
- Stock Counting.
- Stock Management.
- Periodic Processing.

The first two functions are concerned with performing the stock recording aspects, the third is concerned with deciding what stock should be where, and the fourth with building the database to aid management decisions. As the movement transactions are applied to the balances interactively, any displayed balance reflects the latest information in the system. Supply and despatch decisions can then be made in greater confidence.

Drinks Inventory Management can be installed in isolation; however, if Purchasing, Production and Sales Systems are installed most of the movements will be performed in these operational systems and Inventory Management will deal exclusively with counting, housekeeping and stock management decisions.

Initial Stock Balance Take-On

Once all the basic data has been set up, you are ready to set the initial stock balances prior to processing. This task may be undertaken as part of a conversion from another system, but where this is not the case the following inventory movements can be used:

- Physical Stock - use the Sundry Receipt option to set the initial shelf stock.
- Allocated Stock - use the Allocation Adjustment option to set any existing allocated stock level.
- Frozen Stock - use the Frozen Stock Adjustment option if you currently have stock which is unavailable for issue.
- On Purchase Order - use the Record Purchase Order option to reflect the current supply situation.

It is worthwhile entering all these movements with a narrative indicating "INITIAL SET-UP", so that they may be readily identified in the future. Making use of a standard procedure for this exercise means that a full audit is maintained in terms of movement records.

Movement Transactions

The purpose of a Drinks Inventory movement transaction is to record an action within the module and to calculate the effect on the stock balance. In its simplest form a Sundry Receipt booking straight into Drinks Inventory increases the physical stock.

A Customer Order Issue, however, will not only reduce the physical stock but also reduces the balance of the stock allocated to orders. The following movement types are available:

- Record purchase order.
- Sundry Receipt.
- Customer order issue.
- Sundry Issue.
- Adjustment to physical stock.
- Adjustment to allocated stock.
- Adjustment to frozen stock.
- Purchase order receipt.
- Bottle Receipt.
- Expense Account Adjustments.
- Transfer out to another stockroom.
- Transfer in from another stockroom.
- Transfer In and Out for a single item.
- Transfer In and Out for multiple items.
- Transfer In and Out for a single frozen item.
- Transfer In and Out for multiple frozen items.

Each of the movements updates the appropriate balance fields on the item stockroom balance. If the item is defined as being batch lot or serial controlled, the additional control number must be entered. A subset of the balances are maintained for the lower level record.

Costs may be entered with the movement. These depend upon the movement type and the costing method. The database will be updated appropriately.

There are four ways of valuing stock movements. These are:

Average Cost

The average cost of stock in the stockroom is recalculated everytime a receipt is made. This average cost is used to value issues.

Standard Cost

The standard cost for the item is either 'rolled over' from the Production module or directly maintained. This cost is used to value all movements, both receipts and issues.

FIFO Cost

This is the acronym for First In First Out. Each receipt for the item is maintained as a separate balance and as an issue is made it is consumed. The first receipt to arrive is the first receipt balance to be used for issues. The cost of the issue is taken from the receipt balance. The FIFO sequence is maintained by time as well as date. If the item is batch controlled then the FIFO operates within batch.

Latest Cost

The latest cost for a particular item is the cost of the last item received into the inventory.

The default or preferred method is set on the company control record. This, however, can be finally controlled at Item level. All costs are kept in base currency, correct to five decimal places. The latest cost of all items is recorded and the average cost calculated whatever the costing method. If, for example, the valuation method is FIFO this can be simply compared with the average and latest cost on an enquiry screen.

For each Inventory movement a record is written to a transaction file. This provides a full audit trail of movements. The information held includes:

- Movement type.
- Supplier or customer.
- Quantity moved.
- Value of the movement.
- Resulting stockroom balance.
- Batch/Lot number.
- Date and time of movement.
- Person responsible.
- Terminal used.

The movement week and period details are determined from the calendar and period files and set to either the current or next week/period.

The movement history may be held on the system as long as necessary, but not less than one month, because it is used to prove the closing balance at the end of the period. It is available for both enquiry and reporting to assist investigations into stock inaccuracies and provide the basis of activity analysis.

Stock Counting

The module provides a simple to use stock counting procedure which incorporates the cycle counting methodology. This enables the automatic creation of count recommendations. The following steps are involved:

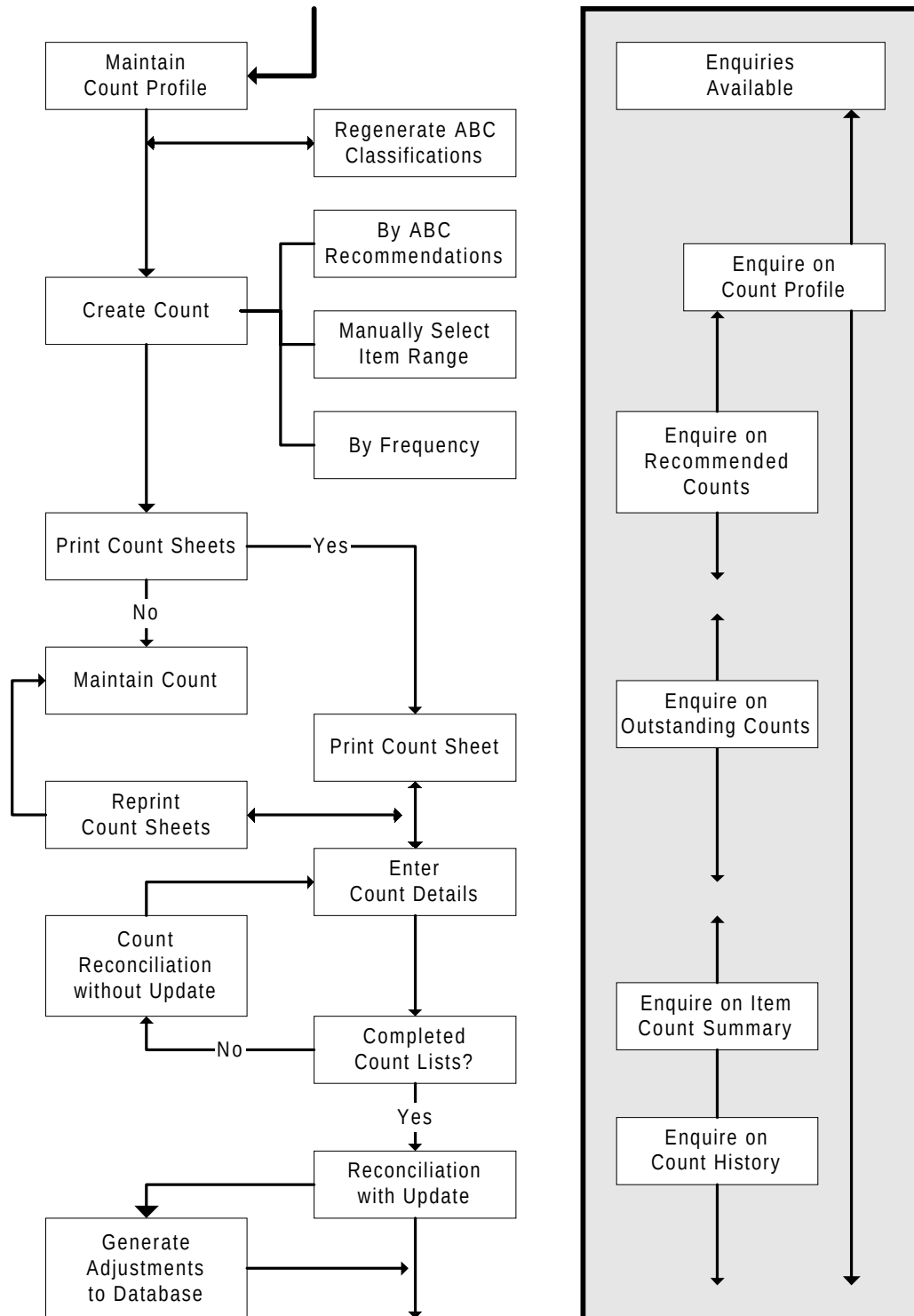
- Count creation - manually by item ranges or automatically on a time based cycle.
- Review / maintain count recommendations.
- Request printing of stock count sheets.
- Enter counted stock figures.
- Reconcile counted stock.
- Post adjustments if applicable.

If Drinks Warehousing is installed, all processing is assumed to be in the default warehouse and additional functionality allows stock count requests to be based on a physical cycle of warehouse locations or areas.

In Drinks Inventory Management, counts may be requested via two distinct methods:

- Time Based Cycle of ABC Classification
- Manual Requests by Item Selections

The following diagram represents the data flow through the Stock Counting functions:



Time Based Cycle of ABC Classification

This method automatically suggests items that require counting within a given stockroom, based on a predefined next due date. This date is defined from parameters set at the item and stockroom levels. The item/stockroom has a classification (A, B, C or Z), defined on the stock weeks matrix with an override classification that can be manually maintained. In addition, there are annual count objectives defined for each stockroom.

Manual Requests by Item Selections

This method requests counts by item range which can be selected on the following criteria:

- Item number.
- Item type.
- Item class.
- Item group major and minor.
- Stockroom.

Once counts have been created they are considered to be recommendations only, detailing items. These counts may be both reviewed, modified and deleted.

The module records the stock level of the selected item(s) at the start of the count. This enables everyday processing of movements to continue while stock is being counted, and reconciliation to take place on completion of the count. Stock count sheets are then produced at the required level of detail, i.e. all levels of inventory records are exploded for the selected items.

To facilitate the management of the count workload, the count can be partitioned by list within counts, by specifying a maximum number of instructions per list. Once the count sheets are printed the count is considered to be outstanding.

The total quantity of physical stock of each item counted is entered from the stocktake sheets. This data is validated and a report produced.

Until the stocktake is deemed complete, a reconciliation report of physical stock versus computer stock figures is available. This would normally be selected by the same parameters as used when requesting the original stock count sheets. The report highlights the differences between physical and computer figures, both actual quantities and value variance.

On completion of the stocktake the module offers the option to generate automatic adjustment of any discrepancies. Any variances outside the tolerances defined on the stockroom count profile are designated as count errors.

Once the count sheets have been requested, no stock movements should take place for the selected items until after the physical count has been entered and reconciled.

To assist in the reconciliation of any discrepancies, reports are available giving summary or detail information of stock movements, with particular options for detailing Negative Stock Balances, if required.

Stock Management

The system offers a number of stock management techniques including Material Requirements Planning (if production is installed) and Drinks Distribution Requirements Planning (DRP). Drinks Inventory Management, even in isolation, can be used to operate an order point stock management policy. The main factors in this policy are:

- Average usage.
- Reorder point and maximum stock.
- Reordering rules.

Average Usage

The usage of an item is held on the Stock History file, and is maintained either weekly or monthly according to the usage cycle specified on the company profile record. Average usage is re-calculated during week or month end processing, as appropriate.

The usage profile defines which of the preceding weeks' or months' usage are to be included in the calculation of average usage. The item stockroom balance record holds the code for the usage profile which will be used in the calculation of average usage.

Typically usage profiles will be set up to represent the following:

- Three months moving average.
- Twelve months moving average.
- Seasonal moving average. (This would be achieved by taking the previous month and the "next" month last year).

Care is taken to ensure that the average is only calculated from the start of the item's life even though the profile indicated that previous data should be included. This is to ensure that the average is not distorted by the absence of historic data.

Monthly usage should be used only where the period end dates match week ending dates.

Reorder Point and Maximum Stock

The parameters of maximum stock, reorder point, reorder quantity and economic order quantity may be maintained for each item in each stockroom.

Alternatively, by using the historical usage information maintained as a result of all movements, the module can calculate these figures. These calculations are based upon grouping items into the categories defined on the stock weeks matrix.

The definition of these groups is held on the stock weeks code matrix which is updated as part of the Company Profile Maintenance procedure.

Limits are set to define the boundaries for high, medium and low usage and value. Minimum and maximum stock holdings, expressed as weeks at average usage, are assigned to each of the nine categories.

The Minimum Stockholding In Weeks is the number of weeks' stock that will be left after the lead time has expired, and therefore, represents a safety stockholding. Safety stock is a measure of how likely the lead time and average usage are to increase.

When the procedure to calculate reorder point, maximum stock, etc., is run, the module reads the stockroom records and re-assesses, for allowed items, the reorder point and maximum stock quantities.

The system assesses where this item falls on the value axis of the stock weeks matrix based on its cost. It then determines where it falls on the usage axis based on its average usage.

Having assessed which of the nine categories this item falls into, the minimum and maximum stockholding (in weeks) are taken from the matrix and the following calculations performed:

Reorder Point = (Lead Time + Minimum Stockholding) x Average Usage

Lead time and minimum stockholding are expressed in weeks.

Maximum Stock = (Lead Time + Maximum Stockholding) x Average Usage

Lead time and maximum stockholding are expressed in weeks.

Reorder point and maximum stock are held on the item stockroom balance record.

Since average usage is used in the calculation procedure, it is best run after the week end or month end processing procedure in which average usage is re-calculated.

The module is also able to calculate an Economic Order Quantity as follows:

$$EOQ = \sqrt{\frac{2 * AU Y * OPC * IC * SCR}{100}}$$

where:

EOQ	=	Economic Order Quantity
AUY	=	Average Usage Per Year
OPC	=	Order Placement Cost
IC	=	Item Cost
SCR	=	Stock Carrying Rate %

Reordering Rules

The module supports three different reordering policies:

ROP/Max

When expected stock drops below the reorder point, order up to the maximum stock.

ROP/ROQ

When expected stock falls below the reorder point, order the reorder quantity.

Up To ROP

When expected stock drops below the reorder point, order enough to take the stock up to the reorder point. For example, if $ROP = 0$, this rule ensures that goods are only reordered when there is demand for them (a customer or Production order).

Available / Expected Stock

These are calculated as follows:

Available Stock = *Physical Stock - Frozen Stock - Allocated Stock - Picked Stock*

Expected Stock = *Available Stock + Stock in Transit + Stock on Supply Order - Stock on Back Order*

Periodic Processing

Although Drinks Inventory Management is a transaction based system which records events as they happen, many of the decisions concerning stock levels and raising and amending orders are based upon the performance of an item over time.

In order to do this, it is necessary to be able to view previous periods' activity. This is achieved by maintaining history files, not only of the transactions, but also summarised by type of transaction. These are maintained by running weekly, monthly and year end procedures.

Packaging Requirements

Packaging Requirements provides a complete set of facilities for analysing and reporting of packaging information. This information will help you to produce the packaging statistics that need to be submitted to the appropriate authority. You use the information produced to complete the standard documentation provided by the authorities.

You use Packaging Requirements to enter information about how much of each type of packaging is used when a product is shipped to a domestic customer over a specified period.

Enquiries

The enquiries in Drinks Inventory Management allow a multi-layered view of an item. These layers are:

- Company stock summarised by stockroom.
- Full details of the current balance, usage, and cost at a stockroom.
- The breakdown of a stockroom balance into the batches or lots that comprise the stock holding.
- The movements that gave rise to the present balance.
- The summary of activity for previous periods.
- Expense Account balances.

In addition, the reference files are supported by a full range of enquiries.

Reports

The reports produced by Drinks Inventory Management can be classified as:

- Status.
- Audit.
- Valuation.
- Movement Analysis.
- Action.

Status reports are provided on the master files and particularly on the item file. Audits with before and after images are printed on request. These include all changes since the previous print.

Installing Application Manager PTF's

Application Manager PTF's must be restored and installed as QSECOFR.



Note: To install the Application Manager PTF's the system must be in a minimum state (that is with no users or subsystems / jobs running - this is important)

Use a normal User ID to create the state then sign off and sign on as QSECOFR.

At the first screen, add in library OSLPTP1 (ADDLIB OSLPTP1 *FIRST)

Type in MNGPTF and install the PTF as normal.

Once installed, the library and PTF object can only be removed by QSECOFR. Install this PTF then sign off and sign back in as PTFOwner for subsequent PTF's.

If the above is NOT done, PTFOwner, being inside Application manager, will say the AM PTF is installed when it has not, as PTFOwner is using one of the objects the PTF requires, and the system will work - but will NOT have been updated.